

Name	Sejin Sarah Oh	Photo (Optional) (If any)	
Committee	Committee 2		
Delegation	Republic of Indonesia		
E-mail Address (G-mail)	sejin.sarah@gmail.com		
Agenda	Promoting the effective implementation of Article 6.2 of the Paris Agreement by enhancing bilateral and multilateral cooperation through non-market mechanisms		
POSITION PAPER			

The delegate of Indonesia acknowledges the lack of Non-Market Mechanisms (NMMs), as Article 6.2 of the Paris Agreement is market-focused. Indonesia regrets how most countries prioritize carbon markets, leaving non-market cooperation only as an afterthought. The lack of emphasis on NMMs can also be seen in the underdevelopment and underfunding of UN-level bodies such as the Glasgow Committee on Non-Market Approaches. This delegate also notes that countries who want to cooperate in non-monetary ways don't have a system to effectively share technology, engage in adaptation projects, or build joint capacities. Currently, Measurement, Reporting, and Verification (MRV) is market-oriented and inflexible, and is only designed for quantifiable emissions reductions such as tons of CO₂ reduced. Non-market initiatives are harder to quantify, and the issue is exacerbated by the fact that many developing countries lack MRV infrastructure, and there's no global standard for non-market MRV, leading to countries experiencing difficulties while proving effectiveness or claiming credit after trying non-market collaboration. To summarize, data is fragmented because nations lack a central repository for countries to submit data to, learn from, and thus, opportunities for global learning and scaling-up are lost. Furthermore, as carbon trading generates revenue, market-based cooperation is attractive. Thus, to prevent the deprioritization of non-market cooperation, Indonesia calls for building incentives. Lastly, Indonesia also calls attention to power imbalances and lack of South-South/Regional Platforms. Non-market cooperation often reflects North-South dependency models (donor-recipient), and few frameworks support South-South or regional partnerships, especially among developing countries with shared challenges, and Indonesia notes that peer collaboration is weak and fragmented without regional infrastructure. Recapping everything, Indonesia calls for an increased accentuation on NMMs in Article 6.2 of the Paris Agreement.

Prompted by these considerations, Indonesia and the UN have taken measures to address the lack of emphasis on Non-Market Mechanisms. Most notably, Article 6.8 of the Paris Agreement recognizes the role of NMAs such as technology transfer, capacity building, and resilience building. The Glasgow Committee on Non-Market Approaches (GCCnMA) was also created to explore how non-market cooperation can be promoted and tracked. Furthermore, the UN is currently also pursuing a UNFCCC Work Programme on Article 6 focusing on developing guidance for implementation, including MRV systems, and limits attention to standardizing non-market MRV to effectively utilize Article 6.2 beyond ITMOs. Finally, the UNDP and UNEP have been promoting South-South and Triangular Cooperation Initiatives to promote no-market bilateral and regional partnerships in technology and adaptation, especially among developing countries. For example, they have developed regional climate hubs and joint adaptation pilots in Southeast Asia and Africa. However, the issue of Article 6.2 being market focused persists, and NMMs remain vague, lacking funding, clear frameworks, and political momentum.

Indonesia is also pursuing endeavors to recognize the role of NMMs. Indonesia is a key country in numerous partnerships, such as the Just Energy Transition Partnership (JETP) with the G7 and international banks, which is a \$20 billion agreement to accelerate its energy transition. While it is mostly finance-based, the JETP includes non-market elements such as policy coordination, technology transfer, and regulatory reform. As a leading ASEAN member, Indonesia heavily contributes to the ASEAN Working Group on Climate Change (AWGCC) and supports regional climate action focused on joint adaptation, disaster risk reduction, and technology exchange, which reflects Indonesia's push for regional, non-market climate change partnerships. As the world's largest archipelagic state, over 40 million Indonesians live in coastal zones, and thus, Indonesia recognizes the importance of the reformation of Article 6.2 and resolves to remain fixated on this agenda.

Indonesia recognizes the vital role of non-market mechanisms in achieving inclusive climate action and emphasizes that multilateral and regional cooperation must extend beyond markets. Being cognizant of the current lack of a global system for Non-Market Cooperation, Indonesia advocates for a centralized UNFCCC registry to document and share successful initiatives such as adaptation programs and technology transfers to replicate effective models like REDD+ forest protection and give legitimacy to NMMs under Article 6.2 and ensure countries receive recognition for NMMs. Furthermore, Indonesia advocates for MRV systems tailored to Non-Market Mechanisms. Current systems are tailored to market-based outcomes like tons of carbon dioxide reduced because non-market efforts are harder to measure. Indonesia proposes a flexible MRV framework with qualitative indicators, case-based documentation, and technical support for developing countries in order to allow non-market contributions to be measurable and integrate them into global climate goals. Lastly, Indonesia calls for strengthening South-South and Regional Cooperation Platforms to build non-market partnerships. This will allow countries with similar geographical and developmental challenges to share expertise and resources. Countries will also benefit from joint projects supported by climate finance or technical assistance and reinforce Indonesia's leadership role while empowering other countries to act collaboratively outside of market systems. Indonesia looks forward to working with Committee 2 to resolve this issue.

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Delegation	Republic of Indonesia		
E-mail Address (G-mail)	sejin.sarah@gmail.com		
Agenda	Devising ways to ensure equity, compliance, and transparency in the distribution and utilization of international climate finance under the New Collective Qualified Goal (NCQG)		
POSITION PAPER			

Although The New Collective Quantified Goal (NCQG) was meant to reflect the needs of developing countries with a more needs-based and equitable financing framework, the delegate of Indonesia recognizes its shortcomings, such as inequity, non-compliance, and lack of transparency. First, compliance is voluntary, and thus, the \$100 billion goal was never met, with countries overstating contributions. Thus, countries are unable to plan long-term climate policy on the basis of uncertain funding. Second, NCQG faces criticism for inequitable distribution. Currently, most funding goes to mitigation, or green energy, which benefits large-scale infrastructure, and not adaptation, despite its urgency in climate-vulnerable countries. Despite urgency in climate-vulnerable countries, only about 30% of funds go to adaptation. SIDs, LDCs, and coastal nations like Indonesia need adaptation for climate crises, and Indonesia calls for a reformation of the finance flow to reflect what vulnerable countries actually need. This delegate also recognizes the shortcomings of donation systems, especially as it lacks transparency in distribution and utilization, as donors self-report, and because of power imbalances, with funding often serving donor interests and recipient countries or local voices being underrepresented in decision-making. Furthermore, developing countries often feel barriers to access, with complex climate finance applications, and many countries lacking the institutional capacity to meet donor criteria, leading to indigenous communities often being excluded from funding opportunities. Indonesia, mindful of such predicaments, calls for a reformation of NCQG to better reflect the needs of developing countries.

In light of these concerns, both Indonesia and the United Nations have made efforts to devise ways to ensure equity, compliance, and transparency under the NCQG. The UN pledged to mobilize \$100 billion annually by 2020 to assist developing nations with mitigation and adaptation in COP15 in 2009, which was the first major quantitative climate finance goal. Article 9 of the Paris Agreement also reaffirms that developed countries must provide financial resources to assist developing nations and also calls for clarity on support and scaling up finance. Additionally, the Green Climate Fund, which is the largest dedicated multilateral climate finance institution under the UNFCCC, started operating in 2015, and it is designed to balance mitigation and adaptation. COP26 and COP27 also launched a formal Work Programme on the NCQG to define specificities such as the amount, how it will be distributed, and how equity and transparency will be embedded. These were the first steps toward shaping the NCQG, with active input from developing countries. However, developing countries still face complications in accessing funds, as the process is still dominated by donor interests and lacks concrete definitions of compliance or equity. The UN has also agreed to establish a loss and damage fund for irreversible climate impacts, primarily for vulnerable countries, but this fund also remains underfunded and vague, underscoring the urgent necessity of transparency and donor accountability in the future. Indonesia is also profoundly interested in the NCQG. Indonesia attempts to enhance climate targets explicitly on conditional or international support through updated NDCs and Long-Term Strategies, making predictable and transparent climate finance a necessity. Indonesia has also accessed Green Climate Funds (GCFs) for geothermal and forest protection projects, and leads G77 and ASEAN Climate Forums to push

for equity and transparency in regional and multilateral climate finance discussions, positioning itself as a key voice for the Global South in shaping the NCQG. On the other hand, Indonesia recognizes that such endeavors often have slow and complex processes, and also acknowledges the problem of most of the funds being loans, raising concerns about fairness and debt, and thus, Indonesia highlights the necessity of simplified and inclusive funding access.

Indonesia underscores that the NCQG must be guided by equity, transparency, and accountability to ensure that developing countries can have access to and help influence climate finance policies. First, Indonesia proposes an independent compliance mechanism for donors to avoid repeating the failure of the \$100 billion pledge that tracks climate finance pledges, disbursements, and outcomes. An independent compliance mechanism would publicly report donor countries' commitments and flag shortfalls which would increase pressure for follow-through. This would be especially helpful to base climate targets on expected support. Indonesia also suggests allocating a minimum percentage of 50% for adaptation. Currently, only 30% of climate finance goes to adaptation, leaving critical needs unmet, and a minimum percentage would ensure a balance of funds that would serve real priorities of vulnerable communities. Lastly, Indonesia advocates for a streamlined access and promotion of direct finance for local actors. A simpler, faster application pathway for qualified developing countries would alleviate the burden developing countries currently face with complex multilateral fund systems. Furthermore, it could expand direct access modalities where local governments or NGOs can receive funding without needing intermediaries like the World Bank, which would enhance equity, efficiency, and inclusiveness in fund distribution. Indonesia looks forward to working within Committee 2 to ensure equity, compliance, and transparency in the distribution and utilization of international climate finance under the NCQG.

Pledge of Originality

I, Sejin Sarah Oh, hereby declare that the position papers for both Agenda A and Agenda B were written solely by me, the delegate of the Republic of Indonesia, without the aid of artificial intelligence (e.g., ChatGPT) and/or committing plagiarism. I affirm that the content reflects my own research, understanding, and analysis of the topics, and understand that any violation of this pledge, even when discovered after the conference, may result in the cancellation of the participation and any awards.

Name and Surname of Participant: Sejin Oh

Signature or Seal: 

Date: July 17th, 2025

Footnotes

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